PASSBOOK · CA INTERMEDIATE · GROUP II

Paper 6B

Strategic Management

Short Notes

For every lesson, in syllabus order: the key idea, the formats and formulas, the answer frame, the common mistakes with their fixes, and the recap.

21 lessons in 5 chapters · phone edition · made 2026-10-20 from the PassBook lessons

The labs (step-through simulators) are not printed: open the lesson in the PassBook app for the interactive version.

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CHAPTER 1

Introduction to Strategic Management

1.1 Meaning, nature, importance and limitations of strategic management

Key idea

Strategy is the game plan for competing; strategic management is the never-ending process of setting direction, crafting, implementing, evaluating and correcting that plan. A company's actual strategy is always partly proactive (planned) and partly reactive (adaptive), and strategic management improves the odds of success without guaranteeing it.

ANSWER FRAME

"Define strategic management and discuss its limitations" (5 marks)

1. **Definition** (SM 1.8): the managerial process of developing a strategic vision, setting objectives, crafting a strategy, implementing and evaluating the strategy, and initiating corrective adjustments where deemed appropriate.
2. **Lead-in**: the presence of strategic management cannot counter all hindrances and always achieve success.
3. **The four limitations as headings**, each with one or two lines: environment highly complex and turbulent;

time-consuming; costly; difficult to estimate competitive responses.

4. In a case: each limitation followed by the fact that shows it, then any advice asked for.

"Strategy is partly proactive and partly reactive" (case, 5 marks)

Step	What to write
Principle	A company's strategy is a blend of proactive actions to improve market position and financial performance, and reactions to unanticipated developments and fresh market conditions
Proactive	Meaning (planned strategy) and every planned move in the case
Reactive	Meaning (adaptive reaction to changing circumstances) and every response in the case
Conclusion	The actual strategy is a blend; crafting strategy means stitching an intended strategy with adaptive reactions; advice if asked

Three answers to the Tapri case

Loses marks

"Tapri followed a reactive strategy because it copied BrewBucks."

One label for the whole case, no principle, and the planned part is missed.

Passes

"Kiosks and premix are proactive; the frappe is reactive; so the strategy is a mix."

Correct labels, but no meaning of either term and no link to the Study Material's principle.

Full marks

The principle in ICAI's words, each element labelled with its reason, the abandoned element named, and a conclusion that strategy is flexible and pragmatic, never perfect, flawless and optimal.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "reactive" written as a polite word for "failed"**
   Fix: a reactive strategy is an *adaptive reaction to changing circumstances*, and every company needs one, because strategy can never be perfect, flawless and optimal. The failure would be not reacting.

2. **Calling a quick copy of a rival "proactive" because it was fast**
   Fix: a move planned from management's own analysis is proactive; a move forced by an unanticipated development (a rival's price cut, a heat wave, a new rule) is reactive, however fast it is.

3. **Mixing up strategy and strategic management**
   Fix: *strategy* is the game plan (the long-range blueprint); *strategic management* is the cyclic process of developing a vision, setting objectives, crafting, implementing, evaluating and correcting it.

4. **Inventing limitations**
   Fix: ICAI's four limitations, in its order: turbulent environment, time, cost, competitors' responses. Rigidity is the opposite of the Study Material's point: strategy is meant to be flexible and pragmatic.

RECAP

- Strategy: the game plan management uses to take market position, conduct operations, attract and satisfy customers, compete and achieve objectives; a long-range blueprint of desired image, direction and destination.
- Strategic management: the managerial process of developing a strategic vision, setting objectives, crafting, implementing and evaluating the strategy, and making corrective adjustments; it never ends.
- A company's strategy is partly proactive (planned) and partly reactive (adaptive reactions to changing circumstances); it can never be perfect, flawless and optimal.
- Two-fold objective: create competitive advantage; guide the company through all changes in the environment.
- Seven benefits: direction, proactive, framework for decisions, prepares for the future, defence mechanism, longevity, core competencies.

- Four limitations: turbulent environment, time-consuming, costly, competitive responses hard to estimate; its importance still outweighs them.
- Not every worthy decision (diversity, workplace democracy) is strategic in the strict sense.
- Ansoff: the common thread of activities and product-markets; Glueck: a unified, comprehensive and integrated plan. (The captain still changes the bowler.)

1.2 Strategic intent: vision, mission, goals and values

Key idea

Strategic intent is the philosophical base of strategic management: what the organisation strives for and why. It is expressed in vision (where we want to go), mission (what business we are in and why we exist), goals and objectives (measurable results within a time frame), and values (principles never compromised), which guide every decision.

ANSWER FRAME

"Explain the significance of a mission statement" (5 marks)

1. Opening: a mission statement is typically focused on the present business scope, "who we are and what we do"; it describes present capability, customer focus, activities and business makeup.
2. The seven reasons, in order: unanimity of purpose; basis for allocating resources; basis for motivating the use of resources; general tone or organisational climate; focal point; translation of objectives into a work structure; specifying purposes so that cost, time and performance can be assessed and controlled.
3. If Drucker is asked: the eleven questions, then "the answer should have a marketing or external

perspective", with one production-versus-marketing pair.

"Distinguish between vision and mission"

Point	Vision	Mission
Question	Where do we want to go?	What business are we in, and why do we exist?
Time	Future identity and future position	Present business scope; an ongoing, time-independent guide
Content	Aspirations; product-market-customer-technology focus	Business, goals and ways to reach them; capabilities, activities, customers, role in society
Role	Charts a strategic path, moulds identity, creates enthusiasm	Provides a path to realise the vision in line with values; legitimises existence
Change	More specific about the future state and the time frame	Can remain the same for decades if well crafted

The "time-independent" and "decades" rows come from ICAI's suggested answer (MTP January 2025 Series II Q3(b)), not from the Study Material text.

A case: "identify the component and explain it"

Loses marks

"This is the vision because it is about the future."

Right name, one reason, no meaning, nothing on importance or essentials.

Passes

The name, the Study Material's definition, and the facts in the case that match it.

Misses the second part the question asks for (importance, essentials, or how it differs from intent).

Full marks

Name, definition in ICAI's words, the case facts that fit it, then every other part the question asks for as a list in ICAI's order (four essentials of a vision, seven reasons for a mission, ten characteristics of objectives, internal and external implications of values).

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the "vision" with a revenue target in it**
   Fix: a vision is the blueprint of the future position (where the organisation wants to land); numbers and dates belong to objectives.

2. **Mission written as a description of the factory**
   Fix: Drucker's test: answer "What business are we in?" from the customer's side, with the needs served and the customer groups targeted, not the production activity.

3. **Ten characteristics, six remembered**
   Fix: start from the environment and end with resources: environment, mission, decision-making, appraisal, concrete and specific, time frame, measurable and controllable, challenging, correlated, within constraints.

4. **Values treated as negotiable when the money is big enough**
   Fix: core values are inherent and sacrosanct: never compromised either for convenience or short-term economic gain (Collins and Porras). In a dilemma case, the answer is the value, not the profit.

RECAP

- Strategic intent: what the organisation strives for and why ("why they want to do"); the philosophical base of strategic management; vision and mission at the corporate level, business definition and business model at the business level.
- Vision: the blueprint of the future position, where the organisation wants to land; four essentials: think creatively, intelligent entrepreneurship, creates enthusiasm, illuminates the direction.
- Mission: what business we are in and why we exist; focused on the present business scope; seven reasons from unanimity of purpose to cost-time-performance control.
- Drucker: answer "What business are we in?" with a marketing (external) perspective, not a production one.
- Objectives: performance targets and yardsticks; ten characteristics; both short-term and long-term; seven long-term areas; usually two to five years.
- Values: deep-rooted principles, sacrosanct (Collins and Porras), never compromised for convenience or short-term gain; internal and external implications; wider than intent.
- Order: vision, then mission, then goals, then action, with values at the core. (Goa is the vision; the seat belt is a value.)

1.3 Strategic levels: network, corporate, business and functional

Key idea

Corporate level decides where to compete (which businesses, resources across them, acquisitions and divestments); business level decides how to compete in one business (an SBU); functional level decides how to implement it in one function, and feeds ideas and information upward. The levels are linked through functional and divisional, horizontal or matrix relationships.

ANSWER FRAME

"Outline the main levels of management and the networks of relationship" (5 marks)

1. A typical large organisation is multi-divisional; there are three main levels: corporate, business and functional.
2. **Corporate**: CEO, senior executives, board, corporate staff; strategies for the whole organisation: mission and goals, which businesses, resource allocation, strategies spanning businesses, leadership, acquisitions and divestments; guardians of shareholders' wealth.
3. **Business**: head of the SBU; translates corporate direction and intent into concrete strategies for one business.

4. **Functional**: managers of specific functions; functional strategies, most of the information, ideas from closeness to customers, implementation.
5. **Networks**: functional and divisional (independent; heads report directly); horizontal (flat, same level, openness, suits start-ups); matrix (grid, temporary task-based cross-functional teams, more than one business-level manager per team, suits large organisations).

"Identify the level and the role" (case)

Loses marks

"He works at the functional level because he is a manager."

The level without the Study Material's role and without the case facts.

Passes

The level, the Study Material's description of that level, and one fact from the case.

Misses the second part (benefits, duties, or why the approach is right or wrong).

Full marks

The level named first; its role in ICAI's words (the eight CEO activities, or the five points on functional managers); each case fact tied to a point; then every other part the question asks.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the pricing decision sent to the board**
   Fix: importance does not decide the level, scope does. A strategy specific to one business (how to compete) is business level; corporate level is where to compete across businesses.

2. **"Functional managers only execute"**
   Fix: write both halves: they develop functional strategies and supply most of the information and many ideas (being closer to the customer), and they carry the great responsibility of implementation.

3. **Matrix recommended for a ten-person start-up**
   Fix: matrix suits temporary cross-functional projects in large organisations and is complex for smaller ones; a start-up that needs speed and idea sharing suits the horizontal relationship.

4. **Horizontal mixed up with horizontal integration**
   Fix: horizontal *integration* (horizontally integrated diversification) is a growth strategy: acquiring one or more similar businesses operating at the same stage of the production-marketing chain (SM 4.11–4.12), taught in growth strategies; do not let the shared word merge them in an MCQ.

RECAP

- Three levels in a multi-divisional organisation: corporate (where to compete), business (how to compete), functional (how to implement).
- Corporate level (CEO, senior executives, board, corporate staff): strategies for the whole organisation, mission and goals, which businesses, resources across them, strategies spanning businesses, leadership, acquisitions and divestments; guardians of shareholders' wealth.
- Business level: the SBU head translates corporate direction and intent into concrete strategies for one business.
- Functional level: one activity; develops functional strategies, supplies most of the information and many ideas, and implements corporate and business plans.
- SBU: a self-contained division with its own functions, providing a product or service for a particular market.

- Networks: functional and divisional (independent units, direct reporting); horizontal (flat, open, suits start-ups); matrix (grid, temporary cross-functional teams, more than one manager, suits large organisations).
- Top-down: decisions only at the top; bottom-up: every level has a voice. (At the wedding, the DJ knows first what the guests want.)

Interactive version: PassBook app, lesson Strategic levels: network, corporate, business and functional

CHAPTER 2

Strategic Analysis: External Environment

2.1 International and macro environment: PESTLE

Key idea

The micro environment acts on a firm directly and regularly; the macro environment shapes it from beyond its direct control. PESTLE scans the macro environment through six lenses (political, economic, socio-cultural, technological, legal, environmental) to find the drivers of change, the opportunities and threats a strategy must answer, at home and, for a firm going global, abroad.

ANSWER FRAME

"How does PESTLE help X decide Y?" (5 marks)

1. One line: PESTLE identifies the political, economic, socio-cultural, technological, legal and environmental influences on an organisation and provides a way of scanning those that have affected or are likely to affect it.
2. **Six headings in order**, each with the Study Material's drivers that fit the case and what X learns:

Heading	Drivers to pick from
Political	Stability, ideology, taxation policy, regulators, government policies and thrust areas
Economic	Economic trends, trade cycles, interest and exchange rates, inflation, unemployment, consumer spending
Socio-cultural	Lifestyle, demographics, attitudes, buying patterns, ethnic and religious factors, media
Technological	Replacement technology, maturity, manufacturing capacity, innovation, access, licensing, patents
Legal	Corporate, employment, competition, health and safety law, treaties, regional legislation
Environmental	Ecological issues, hazards, environmental legislation, energy use, waste disposal

3. Close: a comprehensive view of the macro environment, simple and quick, encouraging proactive and structured thinking for an informed decision.

"Explain business environment and how interaction helps" (5 marks)

Definition (all external factors, influences or situations that affect business decisions, plans and operations), then the five ways: opportunities and threats; direction

for growth; continuous learning; image building; meeting competition. In a case, apply each to the facts.

Three answers to "PESTLE for a new country"

Loses marks

"PESTLE means political, economic, social, technological, legal and environmental. ABC should study all of them."

The acronym, with nothing applied.

Passes

Six headings, each with general examples ("government stability", "inflation").

Correct but generic: nothing from the case, no consequence for the decision.

Full marks

The one-line purpose, six headings with drivers chosen for the case and what each tells the firm (risk, cost, demand, compliance), and a closing line on the decision.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: BrewBucks in the PESTLE table**
   Fix: they are the **micro** environment, acting on the firm regularly and directly; the Study Material's own question asks which is *not* an element of the macro environment, and the answer is competitors (SM 2.47, 2.50). PESTLE is for forces much beyond the firm's direct control.

2. **Every regulation filed under "political"**
   Fix: government intervention, policy, taxation and stability are political; the specific laws a firm must comply with (company, employment, competition, health and safety, data and product rules) are legal (SM 2.17). In the MCQs, ICAI keyed regulatory approvals for a new drug as legal, not political.

3. **Demographics and culture used as synonyms**
   Fix: demographics are characteristics (age, income, region); socio-cultural factors are behaviour and beliefs (SM 2.12). An answer on "what kind of factor is the age profile of buyers?" says demographic.

4. **Planning steps out of order**
   Fix: evaluate (against internal capabilities), describe the scope, create objectives, develop strategies: you cannot set objectives for markets you have not assessed.

RECAP

- Business environment: all external factors, influences or situations that affect business decisions, plans and operations; interaction with it gives opportunities and threats, direction for growth, continuous learning, image building and meeting competition.
- Micro environment: immediate periphery, regular and direct influence (suppliers, consumers, marketing intermediaries, competitors); macro environment: much beyond direct control.
- Strategic analysis precedes strategy: two considerations (industry and competitive conditions; own capabilities and position); limitations: many options with no pick, time-consuming; issues: strategy evolves, balance, risk.
- Macro elements: demographic (characteristics), socio-cultural (behaviour and beliefs), economic, political-legal, technological.
- PESTLE: political, economic, socio-cultural, technological, legal, environmental; earlier PEST; simple, quick, proactive and structured; it finds the drivers of change.

- Global business: units in many countries, common ownership, common resources, common strategy. Planning: evaluate, describe scope, set objectives, develop strategies.
- International environment: assess first, at multinational, regional and country levels; political risk, culture, exchange rates, legal compliance, taxation.
- Nine reasons to go global, led by the need to grow. (Tapri can phone its supplier, not the monsoon.)

2.2 Defining the industry: value chain and product life cycle

Key idea

Understand the industry through its product. The **product life cycle** (introduction, growth, maturity, decline) tells you the strategic choice for each product or business; the **value chain** (five primary and four support activities) tells you which activities create the value customers pay for, and so where competitive advantage is won.

ANSWER FRAME

"What do you mean by value chain analysis? Delineate the support (or primary) activities." (5 marks)

1. **Meaning (1 mark; May 2025 Q7(a) printed the split as 1 + 4)**: a method of examining each activity in the value chain of a business to identify areas for improvement; how each stage adds or subtracts value; Porter linked it to competitive advantage.
2. **The activities (4 marks)**: name each in ICAI's order, with one line on what it covers.
    - Support: procurement (processes for acquiring inputs, not the resources themselves); technology development (product, process, resource); human resource management (transcends all primary activities); infrastructure (planning, finance,

quality control, information management; structures that sustain culture).

- Primary: inbound logistics, operations, outbound logistics, marketing and sales, service, with an example each.

3. In an "intertwined" question, open with "Yes, I agree": each group of primary activities is linked to support activities.

"Explain the characteristics of business products" (5 marks)

Five points for five marks, in the Study Material's order: tangible or intangible (with examples); has a price (market price where quantity provided equals quantity desired; businesses work on costs); features that deliver satisfaction (function, design, quality, experience); pivotal for business (centre of all strategic activities); has a useful life (replaced, reinvented or ceases to exist).

"Write a short note on the PLC and its significance in portfolio diagnosis"

The S-shaped curve of sales against time; the four stages with their features; then the significance: diagnose the portfolio, attention to declining businesses, expansion for introduction and growth, mature businesses as sources of cash, selective harvesting or retrenchment for declining ones, a balanced portfolio. The Study Material's own answer includes a sketch of the curve with the stages labelled (SM 2.57–2.58): draw one.

A PLC case: "identify the stage and suggest the strategy" (5 marks)

1. **Stage, from the facts**: quote the case facts that match the stage's features ("growth rate slow, market stabilised, profit down due to stiff competition": maturity).
2. **The strategic choice the PLC points to**: expansion (introduction, growth); source of cash and stability (maturity); selective harvesting, retrenchment or diversification (decline).
3. **The corporate strategy, if asked**: for a mature product, a stability strategy, with its reasons (the product has reached maturity; staff comfortable with the status quo; a relatively stable environment; expansion perceived as threatening; consolidation after rapid expansion), as in ICAI's answer to May 2026 Q5(c).

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the delivery van that went into the wrong box**

   Fix: inbound logistics receives, stores and distributes the **inputs** (materials handling, stock control, transport); outbound logistics collects, stores and distributes the **product to customers**. Ask what the van carries.

2. **"Procurement means the raw materials"**
   Fix: procurement refers to the **processes** for acquiring the resource inputs to the primary activities, not to the resources themselves (SM 2.25). Negotiating with suppliers is procurement, a support activity.

3. **Calling every sales slowdown "decline"**
   Fix: decline needs a sharp downward drift in sales and profits, typically because a new product replaces the existing one.

4. **Cost-plus pricing in a characteristics answer**
   Fix: the Study Material says the opposite: because of competition, price is often given by the market and businesses work on reducing costs to maintain profitability.

RECAP

- Five characteristics of business products: tangible or intangible, has a price (often given by the market, so businesses work on costs), features that deliver satisfaction, pivotal for business, has a useful life.
- PLC: an S-shaped curve of sales against time through introduction, growth, maturity and decline; it works for businesses as well as products.
- Introduction: slow sales, negligible competition, high prices, limited markets. Growth: demand expands rapidly, prices fall, competition increases.

- Maturity: growth slows, competition tough, market stable, profit down. Decline: sales and profits fall sharply as a new product replaces it.
- PLC use: diagnose the portfolio; expand introduction and growth businesses, use mature ones for cash, harvest or retrench declining ones; build a balanced portfolio.
- Value chain analysis examines each activity to find improvements; Porter linked it to competitive advantage, which comes from competences in activities and managing linkages.
- Primary: inbound logistics, operations, outbound logistics, marketing and sales, service. Support: procurement, technology development, HRM, infrastructure.
- Profitability depends on value to customer, price and cost: customer's surplus = value − price; firm's margin = price − cost; price profitably between cost and value. (The mango seller knew it all along.)

Interactive version: PassBook app, lesson Defining the industry: value chain and product life cycle

2.3 Porter's five forces

Key idea

The state of competition in an industry is a composite of five competitive pressures: rivalry among existing sellers, the threat of new entrants, substitutes from other industries, and the bargaining power of suppliers and of buyers. The collective strength of these five competitive forces determines the scope to earn attractive profits, and that attractiveness is relative, not absolute.

ANSWER FRAME

A five forces case (5 marks)

1. **Model (1 line)**: "Porter's five forces model holds that the state of competition in an industry is a composite of competitive pressures operating in five areas ..."
2. **Force by force**: name the force, the fact from the case, the Study Material's condition it meets, and its strength (fierce, strong, moderate, weak). A table works well.
3. **Forces the case is silent on**: say so; add an inference only if the facts support it.
4. **Conclusion**: the collective strength of the forces decides the scope to earn attractive profits; is the industry attractive for this firm (relative, not absolute), and what should it do?

"Identify the areas in which competitive pressure operates" or "What are the five competitive forces?" (5 marks)

Five forces for five marks. For "areas", write the Study Material's five bullet points as they stand (rival sellers' jockeying for buyer patronage; threat of new entrants; substitutes from companies in other industries; supplier bargaining power and supplier-seller collaboration; buyer bargaining power and seller-buyer collaboration). For "forces", name each force and add its key line: new entrants add capacity and limit prices; buyers gain power by forming groups; specialised and few suppliers have clout; rivalry shows in prices, advertising and pressure on costs; substitutes with a price or performance advantage limit prices and profits. Close with: their collective strength determines the scope to earn attractive profits.

"Explain the conditions in which rivalry is cut-throat" (5 marks)

Open with "the more intensive the rivalry, the less attractive the industry", then the six conditions in order: industry leader, number of competitors, fixed costs, exit barriers, product differentiation, slow growth, each with its one-line reason.

"Explain the experience curve and its relevance" (5 marks)

Concept (learning curve; unit costs decline with cumulative volume; "we learn as we grow"); implication

(larger firms, lower unit costs, cost advantage); causes (learning effects, economies of scale, product redesign, technological improvements); the three features; a sketch of cost per unit against cumulative production; relevance (barrier to entry, builds market share and discourages competition; Maruti Suzuki; rivals choose a niche or segmentation by demography or geography).

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "Bargaining power of unions"**
   Fix: the five are the threat of new entrants, the bargaining power of buyers, the bargaining power of suppliers, rivalry among existing firms and the threat of substitutes. The Study Material's own MCQ uses "bargaining power of unions" as the wrong option (SM 2.47).

2. **Calling a rival's similar product a "substitute"**
   Fix: substitutes come from **companies in other industries** and perform the same, or nearly the same, function; products of rivals in the same industry belong to rivalry.

3. **Mixing up who has the power**
   Fix: suppliers are powerful when they are few and more concentrated than their buyers, their product is crucial with no substitutes, and they can erect high switching costs; buyers are powerful when they are big, concentrated, fully informed and able to switch.

4. **"This industry is attractive", full stop**
   Fix: attractiveness is relative, not absolute. State for whom: an industry unattractive to weak competitors may be attractive to strong ones, depending on the firm's competitive position and its ability to counteract the unattractive factors.

RECAP

- Industry analysis estimates the competitive pressures the business faces now and will face in the near future; the industry is where competitive advantage is won or lost.
- Five areas of pressure: rivalry among sellers, threat of new entrants, substitutes from other industries, supplier power and supplier-seller collaboration, buyer power and seller-buyer collaboration.
- Three steps: identify the pressures, evaluate their strength (fierce, strong, moderate to normal, weak), determine whether their collective strength permits attractive profits.

- Barriers to entry: capital requirements, economies of scale, product differentiation, switching costs, brand identity, access to distribution channels, aggressive retaliation.
- Buyers are powerful when fully informed, big, concentrated and able to switch; suppliers when their product is crucial with no substitutes, switching costs are high and they are more concentrated than their buyers.
- Rivalry is cut-throat with no strong leader to discipline it, many competitors, high fixed costs, high exit barriers, little differentiation and slow growth.
- Substitutes perform the same function from another industry and limit prices and profits. Attractiveness is relative, not absolute.
- Experience curve: unit costs decline with cumulative volume ("we learn as we grow"); a barrier to entry; rivals respond with a niche or segmentation by demography or geography. (The twentieth-Diwali pani puri stall wins on cost.)

Interactive version: PassBook app, lesson Porter's five forces

2.4 Understanding customers, markets and competition

Key idea

Understand the market from both sides. On the customer side: who buys (the customer) and who uses (the consumer), what they need (customer analysis), and how they buy (external and internal influences, decision making, post-decision processes). On the competition side: who the competitors are and what they do well and badly (the competitive landscape, in five steps), and the few **key success factors** that decide success in the industry.

ANSWER FRAME

"Explain the steps to understand the competitive landscape" (case, 5 marks)

1. **Meaning (1 line)**: a business analysis which identifies competitors, direct or indirect; requires competitive intelligence.
2. **The five steps, in order**: identify the competitor (market share data); understand the competitors (sources, their products and services); determine strengths (what they do well, why customers buy, finances, cost and price advantage, distribution, people); determine weaknesses (consumer reports, reviews, annual reports); put all the information

together (gaps the firm can fill, areas it must strengthen).

3. **Apply each step** to the case in one sentence, and close with what the firm should do.

"What are KSFs? How do they help gain sustainable competitive advantage?" (5 marks)

Definition (1 mark); the three questions (2 marks); then (2 marks, the split printed on May 2025 Q8(a)): training strategy on KSFs and being distinctively better than rivals on one or more of them gives sustainable competitive advantage; misdiagnosing them risks a misdirected strategy; rarely more than three or four, one or two outrank the others (2 marks).

"Develop a marketing strategy using customer behaviour" (5 marks)

Meaning of customer behaviour (how customers purchase), then four headings, each with an action from the case: external influences (advertising, influencers, peers); internal influences (motivation, attitudes); decision making (information and comparisons for a significant purchase); post-decision processes (after-sales service and feedback to turn satisfaction into repeat purchases and recommendations).

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: Bunty studies the customers and calls it the competitive landscape**
   Fix: those belong to customer analysis. The competitive landscape's five steps are about **competitors**: identify them, understand them, their strengths, their weaknesses, then put it all together.

2. **"Customer and consumer mean the same thing"**
   Fix: they are often used interchangeably, but there is a thin distinction: the customer purchases, the consumer consumes or uses. A parent buying groceries for the family is the customer; every family member is a consumer.

3. **The KSF list that runs to a page**
   Fix: only rarely does an industry have more than three or four KSFs at any one time. Listing every factor that matters a little defeats the purpose of concentrating management attention on what is truly critical.

4. **Writing "competitive strategy" as "beating competitors on price"**
   Fix: competitive strategy is how a firm competes in its business areas: how it expects to **create and sustain** a competitive advantage. It is analysed on two criteria: the creation and the protection of competitive advantage.

RECAP

- Market: a place where buyers and sellers exchange items and services for a price; physical or virtual. Marketing: research, design, pricing, promotion, transport, distribution; the four Ps (product, place, pricing, promotion).
- Orientations: product (best quality and features), production (low price), sales (advertising and promotion persuade), customer or market (gather and use customer and competitive information); customer-centric firms keep learning.
- Customer: buys. Consumer: consumes or uses. A parent buys the groceries; the family consumes them.
- Customer analysis identifies target clients, their wants and how the product meets them: surveys, consumer data, positioning, customer profiles, segmentation.
- Customer behaviour: external influences (marketing efforts, environmental elements), internal influences (motivation, attitudes), decision making (problem

recognition, search, weigh, choose), post-decision processes (satisfaction or dissonance).

- Competitive strategy: how a firm creates and sustains competitive advantage; judged on its creation and protection.
- Competitive landscape: identify competitors, understand them, their strengths, their weaknesses, put it all together; requires competitive intelligence.
- KSFs: what most affects the ability to prosper; three questions (basis of customer choice, resources and capabilities needed, sustainable advantage); rarely more than three or four. (The caterer never lists the napkins.)

CHAPTER 3

Strategic Analysis: Internal Environment

3.1 Key stakeholders and Mendelow's matrix

Key idea

Mendelow's matrix sorts stakeholders by **power** (ability to influence the organisation's strategy or resources) and **interest** (how interested they are in its success), so that effort follows importance: manage key players closely, keep the powerful satisfied, keep the interested informed, monitor the rest, and re-analyse the grid whenever the environment changes.

ANSWER FRAME

"Explain how Mendelow's matrix helps in managing stakeholders and categorising them" (5 marks)

1. **The tool**: Mendelow's matrix (stakeholder analysis matrix, power-interest matrix) is a simple framework to help manage key stakeholders.
2. **Managing stakeholders**: a project involves the competing interests of various stakeholders; the matrix categorises them on **power** (ability to influence strategy or resources) and **interest** (in the

organisation succeeding), identifies which are most important and prioritises engagement.

3. **The four groups**, each with its action and an example: key players (manage closely, involve in decisions: CEO, shareholders, board); keep satisfied (enough regular information to keep them satisfied: banks, government); keep informed (inform adequately, use their feedback: employees, suppliers); low priority (monitor only, minimal effort: business magazines).
4. **The grid**, drawn with power up the side and interest along the bottom.
5. **Closing line**: stakeholders move between quadrants as the environment changes, so the grid is re-analysed; the matrix helps allocate time and resources and improves the chances of success.

"How can the matrix be used to analyse and manage stakeholders?" (5 marks)

The five steps: identify stakeholders; assess power and interest; plot them on the grid; develop strategies for each quadrant (the four actions); monitor and adapt.

A case: "classify and advise"

Step	What to write
Tool	One line: the matrix and its two dimensions
Facts	Each stakeholder's power cue and interest cue, quoted from the case
Quadrant	High or low on each, so the quadrant
Action	What the organisation should do with that quadrant
Change	If the case changes something (a lapse, a campaign), the move and the new action

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: BrewBucks, key player**
   Fix: a big competitor has high power to impact strategy but potentially less interest in its rival's success: **keep satisfied** (SM 3.5).

2. **Keep satisfied and keep informed swapped**
   Fix: satisfied goes with high power, informed with high interest. Check the axes before the names.

3. **Classifying from the list, not the case**
   Fix: the examples illustrate; the case decides. The same customers can be key players, keep satisfied or keep informed in different ICAI answers.

4. **The four names with nothing in them**
   Fix: each group earns its marks with its power-interest pair and the action the organisation takes, plus the line that positions change and the grid must be re-analysed.

RECAP

- Stakeholders: any person or group, internal or external, with an interest in, or impact on, the organisation's business or corporate strategy; the firm is a coalition of stakeholders, not just an extension of its owners.
- Identify the key stakeholders first: influence and interest differ, and clashing objectives (long-term research versus quick profits) can hurt.
- Mendelow's matrix (stakeholder analysis matrix, power-interest matrix): power = ability to influence strategy or resources; interest = interest in the organisation succeeding.
- Key players (high, high): manage closely, involve in decisions (shareholders, CEO, board).
- Keep satisfied (high power, low interest): enough regular information to keep them satisfied (banks,

government).

- Keep informed (low power, high interest): inform adequately, use their feedback (employees, suppliers). Low priority (low, low): monitor only (business magazines).
- Stakeholders move: a GST lapse turns the tax department into a key player and the media into keep informed; re-analyse the grid when the environment changes. (Phupha-ji is always keep satisfied.)

Interactive version: PassBook app, lesson Key stakeholders and Mendelow's matrix

3.2 Strategic drivers

Key idea

Strategic drivers assess current performance by asking what differentiates the organisation from its competitors. The four key drivers are **industry and markets, customers, products/services and channels**; some are interlinked (markets with products, channels with the key customers in each channel).

ANSWER FRAME

"Write a short note on the key strategic drivers" (5 marks)

1. **Opening**: strategic drivers are essential elements that influence an organisation's ability to differentiate itself from its competitors; they assess the current performance of the business (key markets, key customers, products and services, channels and competitive advantage).
2. **Industry and markets**: relative position; industries group companies by primary product; a market is all buyers and sellers in a region; analysed through strategic group mapping.
3. **Customers**: types of customers and their needs; the first step in deciding the product; customer versus consumer.
4. **Products/services**: what business are we in and how to win in each product; branding, packaging, features,

pricing; marketing strategies.

5. **Channels**: sales, product and service channels; wide and strong channels win and act as barriers to entry.
6. **Closing line**: by aligning these drivers with its goals, a business achieves sustained growth and a competitive edge.

"What are channels? Why is channel analysis important? Explain the types" (1 + 1 + 3)

Part
What are channels
Marks
1
Write
The distribution system by which an organisation distributes its product or provides its service; wide, strong channels help win and act as barriers to entry

Part
Why channel analysis
Marks
1
Write
Important when the strategy is to scale up and expand beyond current geographies and markets: new markets need new or leveraged channels to reach new customers

Part

The three types

Marks

3

Write

Sales channel (who sells to whom; designers' agencies), product channel (who physically handles it; Australia Post), service channel (who supports it during and after the sale; the Bosch plumber)

"Recommend a tool … and outline the procedure" (5 marks)

Name the tool (strategic group mapping) and define a strategic group; say why it suits the case (many rivals, need to group them); give the four steps in order, with the list of typical variables in step 1; close with what the map shows (relative positions, the strongest and weakest rivals, direct competitors).

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the weekend café that got "demarketing"**
   Fix: irregular demand with idle and overworked capacity, evened out by pricing and incentives, is **synchro-marketing** (January 2026 MCQ 16). Demarketing reduces overfull demand.

2. **Lounges are not "augmented"**
   A frequent-flyer lounge strengthens a bond with select customers: **relationship marketing**. Augmented marketing adds services beyond the core product (online repair, on-site service, a better customer interface: May 2025 MCQ 12).

3. **Industry and market used as synonyms**
   Fix: an industry groups companies by their primary product; a market is the buyers and sellers in a region, and each product of a business has its own market.

RECAP

- Strategic drivers assess current performance: what differentiates the organisation from its competitors. Four: industry and markets, customers, products/services, channels (some interlinked).
- Industry: companies grouped by primary product. Market: all buyers and sellers in a region; each

product of a business has its own market.

- Strategic group: rivals with similar competitive approaches and positions. Map: identify characteristics; plot two at a time; group firms in the same space; circles proportional to each group's share of industry sales.
- Customers: types of customers are the first step in deciding the product; customer buys, consumer uses; pricing for the customer, design for the consumer.
- Products: "what business are we in and how do we win in each product?"; differentiation may be real or psychological; new-product pricing: customer-centric, reasonable margin, market share.
- Marketing strategies: social, augmented, direct, relationship, services, person, organisation, place, enlightened, differential, synchro, concentrated, demarketing.
- Channels: sales (who sells), product (who carries), service (who supports); wide, strong channels win and block entrants; analyse them before expanding. (The dhaba's puncture mechanic is its service channel.)

3.3 Resources, capabilities and core competence

Key idea

A core competence is not one skill or one asset: it is the integration of many resources and capabilities (5–15 areas of developed expertise) that differentiates the firm from competitors, delivers customer value and applies across the organisation. Only a capability that is **valuable, rare, costly to imitate and non-substitutable** is a core competence, and the advantage lasts according to its **durability, transferability, imitability and appropriability**.

ANSWER FRAME

"Explain the four criteria … core competencies" (5 marks)

1. Opening: four specific criteria of sustainable competitive advantage determine which capabilities are core competencies; capabilities that are valuable, rare, costly to imitate and non-substitutable are core competencies.
2. Each criterion with its meaning, in this order: valuable (exploit opportunities or avert threats; human capital), rare (few competitors possess it; shared capabilities give no advantage), costly to imitate (rivals cannot develop it easily; Intel), non-substitutable (no strategic equivalent; Tata, Apple).

3. Closing: only when all four are met is a capability a core competence and a source of competitive advantage; it must be supported over time.

"Major core competencies are identified in three areas ... Discuss" (5 marks)

1. Opening: according to C.K. Prahalad and Gary Hamel, major core competencies are identified in three areas.
2. Competitor differentiation; customer value; application of competencies to other markets: each with its Study Material explanation.
3. Closing: if the three conditions are met, the company can regard its competence as a core competency.

Case: "Is X a core competence?" or "Can the advantage be sustained?"

Step	What to write
The list	The opening sentence of the right list (criteria, conditions or characteristics)
Each item	Its meaning in the Study Material's words, then the case fact that meets or fails it
Conclusion	Core competence or not; advantage sustainable or not, and what the firm should do

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: "Our core competence is our new machine"**
   Fix: a core competence cannot be built on one capability or a single technological know-how; it is the integration of many resources, 5–15 areas of developed expertise (SM 3.18).

2. **The criteria answered with the characteristics**
   Fix: criteria for core competencies = valuable, rare, costly to imitate, non-substitutable. Durability and the rest decide whether the advantage is sustained.

3. **"Imitability" written as "costly to imitate"**
   Fix: in the core-competence criteria write "costly to imitate"; in the sustainability characteristics write "imitability" with its test: how easily and quickly can competitors build the resources from scratch?

RECAP

- Core competency (Prahalad and Hamel): the collective learning in the organisation, especially coordinating diverse production skills and integrating multiple streams of technologies.
- Never one skill or one know-how: the integration of many resources; 5–15 areas of developed expertise;

superior integration of technological, physical and human resources plus cultural capabilities (managing change, learning, teamwork).

- Three areas: competitor differentiation (unique, hard to imitate), customer value (fundamental benefit to the end customer), application to other markets (whole organisation, opens new markets).
- Four criteria: valuable, rare, costly to imitate, non-substitutable; only all four make a core competence, and only when it exploits opportunities in the external environment.
- Sustainability of competitive advantage: durability, transferability, imitability, appropriability.
- Examples to quote: HUL (marketing and sales), Wal-Mart (low operating costs), Intel (R&D cycle time), Tata (culture and talent), Apple (iOS), Airtel (customer service). (A star bowler can be bought at auction; the team's system cannot.)

3.4 SWOT analysis: combining external and internal analysis

Key idea

SWOT analysis puts the organisation's internal **strengths and weaknesses** and its external **opportunities and threats** in one framework, so that a decision is taken with full awareness of all the factors. Do it before every major action, and use strengths and opportunities to overcome weaknesses and threats.

ANSWER FRAME

"Why is it necessary to do SWOT analysis before selecting a strategy?" (5 marks)

1. Open with the primary objective: full awareness of all the factors, internal and external, involved in a business decision.
2. It identifies strengths and weaknesses (internal) and opportunities and threats (external), so that management considers all aspects before a strategic move.
3. It helps discover recommendations and strategies that leverage strengths and opportunities to overcome weaknesses and threats.
4. It shows where the business performs well and where it needs improvement; done periodically, it checks the current landscape.

5. It puts complex issues into a simple framework; key reasons: a logical framework, a comparative account, guidance in strategy identification.
6. Close: strategy is then based on internal capabilities and external realities, raising the chances of success.

A case: "Conduct (or evaluate through) a SWOT analysis"

Part	What to write
Describe (1 mark where asked)	Definition and primary objective; S and W internal, O and T external
The grid	Two tables or one 2 × 2: every case fact in its box, in short phrases
Evaluation	Which strengths meet which opportunities; how weaknesses and threats can be addressed
Caution	SWOT alone does not evaluate the factors in the competitive context: compare with rivals

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the rival filed as a weakness**
   Fix: a competitor's action is outside the organisation: a **threat**. A weakness is an inherent limitation of the organisation itself.

2. **A grid with no conclusion**
   Fix: SWOT exists to discover strategies; end with how the strengths and opportunities will be used to overcome the weaknesses and threats.

3. **"SWOT is an internal analysis tool"**
   Fix: internal analysis gives the strengths and weaknesses, external analysis the opportunities and threats: SWOT is used for both, and combines them (SM 3.23).

RECAP

- SWOT: strengths, weaknesses, opportunities, threats; primary objective: full awareness of all the factors (external as well as internal) in a business decision.
- Use it before all company actions (new initiatives, internal policies, growth, altering a plan midway), to find strategies that leverage strengths and opportunities to overcome weaknesses and threats.
- Strengths and weaknesses: internal origin, attributes of the organisation. Opportunities and threats:

external origin, attributes of the environment, largely uncontrollable.

- Helpful: strengths, opportunities. Harmful: weaknesses, threats.
- Benefit: complex issues in a simple framework. Criticism: no evaluation in the competitive context, so consider relative competitors; a useful starting point.
- Key reasons: a logical framework, a comparative account, guidance in strategy identification.
- An opportunity is also a threat if internal weaknesses stop the firm using it as a rival can. (Your cousin's sangeet on 11 January is a threat, not a weakness.)

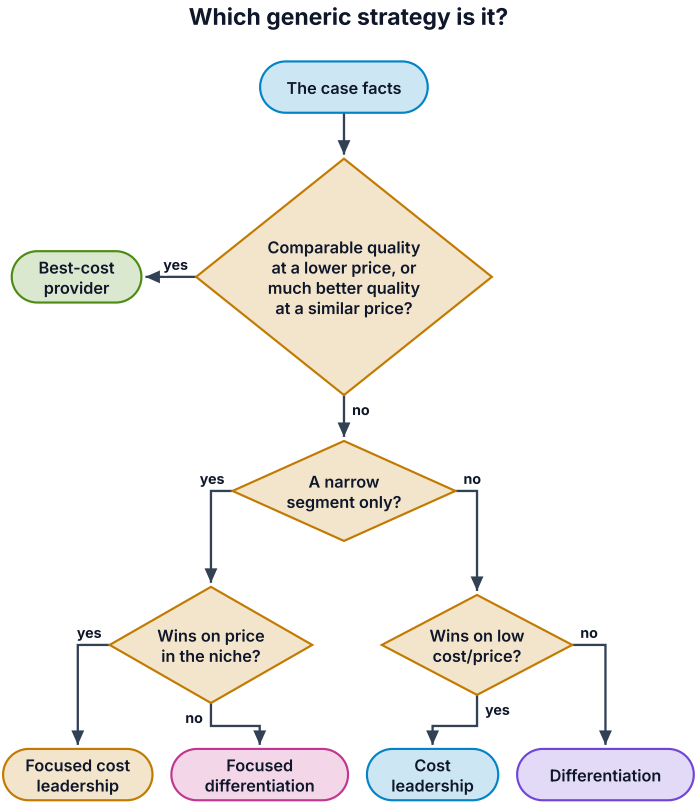
Interactive version: PassBook app, lesson SWOT analysis: combining external and internal analysis

3.5 Porter's generic strategies

Key idea

Competitive advantage is profitability above the industry average that rivals cannot duplicate. Porter's three generic strategies, **cost leadership, differentiation and focus** (focused cost leadership or focused differentiation), are three bases for it; the **best-cost provider** gives more value for money by combining low cost with upscale features. Each needs different organisational arrangements, controls and incentives.

"Identify the strategy" in a case



A reading aid built on the Study Material's definitions, not an ICAI procedure. Colours as in the five-strategies figure: green best-cost, amber focused low-cost, pink focused differentiation, sky blue cost leadership, violet differentiation.

Then write: the opening line on Porter's three bases; the strategy named; its definition applied to the case facts;

the list the question asks for.

The lists, in the Study Material's order

Asked

How to achieve

Cost leadership

6 measures: forecasting, resources, scale, standardisation, technology, resisting differentiation

Differentiation

6 measures: utility and tastes, performance, quality, innovation, brand, value-based pricing

Focus

4: niches, superior skills, efficiencies, value chain

Asked

Advantages

Cost leadership

The five forces: rivalry, buyers, suppliers, entrants, substitutes

Differentiation

The five forces

Focus

2: premium prices; expertise deters rivals and entrants

Asked

Disadvantages

Cost leadership

4: imitation, volume, low spending on advertising and R&D, technology

Differentiation

3: uniqueness hard to sustain, too high a price, basis not valued

Focus

3: competencies needed, high costs, niche disappears or is taken over

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the cheap niche player called a cost leader**

   Fix: it serves a narrow market and charges low prices relative to firms in that market, not the lowest prices in the industry: **focused cost leadership**.

2. **Premium means focus**

   Fix: a premium product sold to the broad market (all cities, all customer groups) is **differentiation**; it is focused differentiation only when the target is a narrow segment.

3. **Best-cost provider confused with cost leadership**
   Fix: a cost leader sells standardised products cheaply; the best-cost provider gives more value for money: a lower price for comparable quality, or a similar price for much higher quality.

4. **Advantages written as a general list**
   Fix: the Study Material's answer is the five forces, one by one: rivalry, buyers, suppliers, entrants, substitutes.

RECAP

- Competitive advantage: profitability above the industry average, from unique features the target market sees as superior, which rivals fail to duplicate.
- Porter's generic strategies: cost leadership, differentiation, focus; generic because any type or size of firm, even not-for-profit, can pursue them; each needs different arrangements, controls and incentives.
- Cost leadership: standardised products, very low unit cost, price-sensitive broad market; effective with many price-sensitive buyers and few ways to differentiate; 6 measures, five-force advantages, 4 disadvantages.
- Differentiation: unique industry-wide, premium price, price-insensitive buyers; bases: product, pricing, organisation; 6 measures, five-force advantages, 3 disadvantages.

- Focus: a narrow segment of sufficient size and growth, not crucial to major rivals; focused cost leadership (low prices relative to the niche's rivals) or focused differentiation (unique features for the niche); 4 measures, 2 advantages, 3 disadvantages.
- Best-cost provider: more value for money, a lower price for comparable quality or a similar price for much better quality (Android flagships).
- Answer pattern: Porter's three bases, the strategy named, its definition applied to the case, then the list asked for. (The vada pav leads on cost; the Udaipur wedding caterer focuses on uniqueness.)

Interactive version: PassBook app, lesson Porter's generic strategies

CHAPTER 4

Strategic Choices

4.1 Growth strategies: integration and diversification

Key idea

Classify a growth move by its link with the present business. Linked by process, technology or marketing: concentric, either vertical (an earlier or later step of the same chain) or horizontal (the same step). No link of product, market or technology: conglomerate.

ANSWER FRAME

"Identify the growth strategy" (5 marks)

1. **Name it**: "The strategy adopted is backward integration, a form of vertically integrated (concentric) diversification."
2. **Define it** in the Study Material's words.
3. **Apply** the facts: which link exists, which stage of the chain is entered.
4. **Conclude**, then what else is asked (advantages, risks, the difference from another type).

"Distinguish between concentric and conglomerate diversification"

ICAI's suggested answers (RTP September 2024 Q14 and four MTPs) give three points:

Point	Concentric diversification	Conglomerate diversification
(i) What is added	Related products or markets	Areas unrelated to the current line of business
(ii) Linkage	Linked to the existing businesses through process, technology or marketing	No such linkages; disjointed from the existing businesses
(iii) Usual reason	Opportunities are available in the existing line of business	Opportunities in the current line are limited, or outside are highly lucrative

Point (iii) is from ICAI's suggested answers; the Study Material gives (i) and (ii) (SM 4.10–4.12). For "Explain the expansion strategy and its characteristics" (1 + 4), write the definition, then the characteristics in the Study Material's order (May 2025 Q8(b)).

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the supermarket that "integrated horizontally" with a farm**
   Fix: horizontal is the *same* stage (another supermarket). Farms supply the supermarket, so it is **backward** integration (SM 4.11).

2. **Forward and backward swapped**
   Fix: direction is about the chain: towards inputs is backward, towards distribution and the customer is forward.

3. **Calling every partnership a merger**
   Fix: if both firms remain separate entities sharing resources, benefits and control, it is a **strategic alliance**; a merger creates one entity. (Where ICAI's facts said two firms "join forces" to design products, without saying they stay separate, the answer was a co-generic merger: MTP September 2024 Series II Q1(a).)

4. **"Unrelated because it is a new product"**
   Fix: a new product linked by process, technology or marketing is concentric (clothes to shoes; a dairy launching vegan yogurt and organic milk, January 2026 MCQ 11). Conglomerate needs *no* link.

RECAP

- Corporate strategies: stability, expansion, retrenchment, combination (SM 4.4).
- Expansion: redefining the business by enlarging scope and substantially increasing investment; opposite of stability in risk and reward; routes: intensification and diversification.
- Internal growth: intensification (penetration, market development, product development), diversification, innovation; external: mergers and acquisitions, strategic alliance.
- Concentric = linked by process, technology or marketing: vertical (backward to inputs, forward to distribution) or horizontal (same stage).
- Conglomerate = no linkage of product, market or technology.
- Mergers: horizontal, vertical, co-generic, conglomerate.
- Strategic alliance: partners stay independent; advantages organisational, economic, strategic, political; the major disadvantage is sharing. (The cricket bats stay a dream.)

Interactive version: PassBook app, lesson Growth strategies: integration and diversification

4.2 Stability and retrenchment: turnaround, divestment and liquidation

Key idea

Stability keeps the same business and improves it incrementally; it is not "do nothing". A declining business is first turned around (reverse the decline by improving internal efficiency); divestment of a part usually follows a turnaround that has failed; liquidation is the last resort, abandoning the activities totally.

ANSWER FRAME

Turnaround case (5 marks)

1. Strategy named, with the turnaround definition (internal retrenchment, improving internal efficiency).
2. The danger signals found in the facts.
3. "For turnaround strategies to be successful, it is imperative to focus on the short and long-term financing needs as well as on strategic issues."
4. The five stages, named in order, one or two lines each, applied to the case.
5. A closing line: the firm can regain financial stability and its competitive position.

"What is meant by corporate level strategies? Identify the strategy in each decision" (May 2026

Q6(b), 1 + 4)

1. One line: corporate level strategies are formulated by the top management and give direction to the organisation as a whole; the four categories are stability, expansion, retrenchment and combination.
2. For each decision: name the strategy, write its **basic feature** from the table above, and point to the fact that shows it.
3. A decision that expands one part of a business and closes another (ICAI's case: expanding profit-making units abroad while closing loss-making units) was keyed as **combination**; a decision to sell out a whole loss-making division as **retrenchment**.

"Justify: stability strategy is opposite of expansion strategy"

ICAI's suggested answer (RTP May 2024 Q14) runs on the first four points; the last row adds the Study Material's own contrast (SM 4.7):

Point	Purpose
Stability strategy	Safeguards existing interests and strengths
Expansion strategy	Redefines the business by substantially adding to its scope

Point

Business

Stability strategy

Same or similar markets and products; few functional changes

Expansion strategy

New products, markets, technology; diversifying, acquiring, merging

Point

Character

Stability strategy

Not a "do nothing" strategy, but a safe one

Expansion strategy

An aggressive strategy: dynamism, vigour, promise and success

Point

Typical user

Stability strategy

Mature organisations; some small organisations, to maintain a comfortable market or profit position

Expansion strategy

Firms with a mammoth growth ambition

Point

Risk and reward

Stability strategy

Less risk, limited rewards

Expansion strategy

Relatively unknown and risky paths, very high rewards

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the stability strategy that bought more farms**

   Fix: stability keeps the same business and improves **functional efficiency** incrementally. Buying farms, new segments and new channels are growth moves (January 2025 MCQ 14).

2. **"Restructure the organisation chart" as Stage Four**

   Fix: Stage Four is *restructuring the business*: the core business, cash forecasts, assets and debts, product mix, facilities, markets and morale. In May 2026 MCQ 12, "restructuring organizational hierarchy" (with "providing innovative transport service") was keyed as an action that did *not* pertain to the turnaround plan.

3. **Divestment and liquidation used as synonyms**

   Fix: divestment sells or liquidates a **portion** (a division, profit centre or SBU) and the company carries on; liquidation **abandons the activities totally**.

4. **Jumping straight to divestment**
   Fix: if the board wants to continue and improve internal efficiency, the answer is **turnaround**; divestment usually follows a turnaround that has proved unsuccessful, unless it is obvious that divestment is the only answer.

RECAP

- Four corporate strategies: stability, expansion, retrenchment, combination (SM 4.4).
- Stability: same business, product-market posture and level of effort; incremental efficiency; no redefinition; low risk; typical of mature products; not "do nothing".
- Stability reasons: maturity; staff comfort; stable environment; expansion seen as threatening; consolidation after rapid expansion.
- Strategic exits: turnaround (reverse the decline), divestment (cut off a unit), liquidation (abandon totally).
- Turnaround signals: negative cash flow, uncompetitive products, falling share, poor facilities, over-staffing and low morale, mismanagement.
- Turnaround stages: assessment; analysis and strategic plan; emergency action plan; restructuring; return to normal.
- Divestment: sale or liquidation of a portion, usually after a failed turnaround; reasons: mismatch, negative

cash flows, competition, technology, better investment.

- Combination: mixing the alternatives, such as expanding one business while closing another. (The samosa gets one honest repair first.)

Interactive version: PassBook app, lesson Stability and retrenchment: turnaround, divestment and liquidation

4.3 Ansoff's matrix and the ADL matrix

Key idea

Ansoff asks two questions, new product? new market?, and gives four growth strategies: penetration, market development, product development and diversification (the riskiest). ADL crosses the stage of industry maturity with the firm's competitive position, and the cell gives the strategies.

ANSWER FRAME

"Explain Ansoff's product market growth matrix" (5 marks)

1. One line on the tool: proposed by Igor Ansoff; helps businesses decide their product and market growth strategy; a device for identifying growth opportunities for the future.
2. The 2 × 2 matrix drawn (existing and new products across, existing and new markets down).
3. The four strategies, one definition each, in the order penetration, market development, product development, diversification (with "diversification is risky" and why).
4. Closing line: as market conditions change, a company may shift strategies; when the present market is saturated it may have to pursue a new market.

For "advise company X using the matrix" (MTP January 2026 Series II Q2(a); the chapter's own question on a pharmaceutical company, SM 4.47–4.48), add that the company can adopt the four strategies simultaneously for different products.

"Write a short note on the ADL matrix" (5 marks)

ICAI's suggested answers (RTP May 2025 Q14; MTP May 2026 Series II Q3(b)): the name (Arthur D. Little); a portfolio analysis method based on product life cycle; a two-dimensional matrix of stage of industry maturity and the firm's competitive position; then the **five competitive positions, each with its description** in the Study Material's words. The 4 × 5 figure itself is not reproduced in those answers.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the new label that became a "new product"**
   Fix: packaging adapted for new customers is one of the Study Material's means of **market development**; the product is still the existing one (MTP September 2024 Series I Q1(c)).

2. **"Increase usage" filed under product development**
   "Brush your teeth twice a day" or "a second cup before 8 a.m." is still the existing product to existing customers: **market penetration** (the chapter's own toothpaste case, SM 4.49).

3. **ADL positions mixed with BCG names**
   Fix: ADL's five positions (dominant, strong, favourable, tenable, weak) measure business strength against the industry's life-cycle stage; BCG's quadrants come from market growth and relative market share. A business can be a Question Mark and Dominant at once.

RECAP

- Ansoff (Igor Ansoff): a product-market growth matrix for identifying growth opportunities; two questions, new product? new market?
- Penetration: existing products, existing markets (more sales to present customers; increase usage).
- Market development: existing products, new markets (new regions, segments, channels, packaging, pricing).
- Product development: new or modified products, existing markets; may need new competencies.
- Diversification: new products, new markets; risky; related or unrelated.

- ADL (Arthur D. Little): portfolio technique based on the product life cycle; stage of industry maturity (embryonic, growth, mature, ageing) × competitive position (dominant, strong, favourable, tenable, weak): a four by five matrix.
- Each ADL cell lists strategies: dominant-embryonic "fast grow, build barriers, act offensively"; weak-ageing "withdraw". (Don't Stop For Tea, Waiter.)

Interactive version: PassBook app, lesson Ansoff's matrix and the ADL matrix

4.4 BCG and GE matrices

Key idea

Portfolio matrices allocate money across businesses. BCG uses market growth rate and relative market share: stars (build), question marks (hold), cash cows (harvest), dogs (divest), in the pairing ICAI's suggested answers use. GE uses the broader market attractiveness and business strength, in a nine-cell green-amber-red grid.

ANSWER FRAME

"Describe the construction of the BCG matrix and its utility" (the chapter's own question)

1. What it is: developed by BCG in the early 1970s for companies organised into SBUs that must allocate resources among them.
2. The two axes and what each measures; the 2 × 2 figure with high share on the left.
3. The four types, one ICAI definition each.
4. The four strategies (build, hold, harvest, divest) and, if asked, the pairing with quadrants.
5. Conclusion: a powerful tool for strategic planning analysis and choice (SM 4.45–4.46). Add the limitations if the question asks for them.

"Explain how the BCG matrix may justify a seemingly contrasting allocation" (September

2026 Q6(b))

1. The portfolio approach: resources can be channelised at the corporate level to the businesses with the greatest potential, diverting them from cash-rich businesses to more prospective ones that hold promise of faster growth (SM 4.23).
2. The two BCG axes, and that profit is not one of them.
3. The most profitable business is typically a **cash cow**: it generates cash and needs less investment to maintain its share, so the strategy is **harvest**.
4. The less profitable business receiving resources is typically a **star** (heavy investment to maintain its position and finance growth: **build**) or a **question mark** (a lot of cash to hold its share; to be turned into a star).
5. Conclusion: the cash cow's cash funds the businesses that hold the company's future growth; when their markets mature, stars become cash cows.

"Distinguish between the BCG matrix and the GE matrix"

Point	BCG growth-share matrix	GE nine-cell matrix
Vertical axis	Market growth rate	Market attractiveness (size, growth, profitability, competitive intensity and other factors)
Horizontal axis	Relative market share	Business strength (share, margin, brand, cost position and other drivers)
Cells	Four: stars, question marks, cash cows, dogs	Nine, in green, yellow and red zones
Strategies	Build, hold, harvest, divest	Invest/Expand, Select/Earn, Harvest/Divest
Origin	Boston Consulting Group	General Electric, with McKinsey and Company

The two differences the Study Material itself states (SM 4.32): market attractiveness replaces market growth, with a broader range of factors; competitive strength replaces market share.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: the new product that was "obviously a Star"**
   Fix: it does not yet have a high share: a new product in a rapidly growing market is a **Question mark** (MTP May 2024 Series I; MTP September 2025 Series II). It becomes a Star only once it wins a high share, as Coufix and "Say No to Sugar" did.

2. **"Most profitable, so cash cow"**
   Fix: BCG classifies on growth and relative share, not profit. Coufix is profitable from day one and is a **Star**, because its market is growing rapidly and it needs heavy investment (SM 4.29–4.30).

3. **Axes swapped or flipped**
   Fix: vertical: market growth rate; horizontal: relative market share, high on the left. For GE: vertical, market attractiveness; horizontal, business strength (May 2026 MCQ 16 asks for these two dimensions).

4. **Writing "Divest" for every question mark**
   Fix: question marks need heavy investment, and the Study Material says it is for the organisation to turn them into stars; ICAI's answers pair them with **Hold**. Divest is the strategy for dogs.

RECAP

- Portfolio models channel resources at the corporate level to the businesses with the greatest potential; cash-rich businesses can fund more prospective ones (SM 4.23).
- BCG: vertical axis market growth rate (market attractiveness), horizontal axis relative market share (company strength), high share on the left.
- Stars: rapid growth, heavy investment, best opportunity for expansion. Cash cows: low growth, high share, generate cash, need less investment.
- Question marks: low share, high growth, need a lot of cash, can become cash traps; turn them into stars. Dogs: low growth, low share; minimise by divestment or liquidation.
- Strategies: build, hold, harvest, divest; ICAI's answers pair stars–build, question marks–hold, cash cows–harvest, dogs–divest.
- BCG limitations: difficult and costly; hard to define SBUs and measure share and growth; classifies the present, little advice on the future; over-emphasis on share growth.
- GE (stop-light, with McKinsey): market attractiveness (vertical) × business strength (horizontal); nine cells; green invest and grow, yellow caution, red retrenchment, divestment or liquidation.
- GE differs from BCG: attractiveness replaces growth; competitive strength replaces share. (Kesar still loves all four businesses; the budget does not.)

Interactive version: PassBook app, lesson BCG and GE matrices

CHAPTER 5

Strategy Implementation and Evaluation

5.1 Formulation versus implementation: matrix, linkages and issues

Key idea

Organisational success is a function of good strategy **and** proper implementation. Successful formulation does not guarantee successful implementation: it is always more difficult to do something than to say you are going to do it.

ANSWER FRAME

A case on the matrix or the efficiency grid (5 marks)

1. Name the tool and the concept: "the strategy formulation and implementation matrix" or "the principal combinations of efficiency and effectiveness".
2. Define the two dimensions in ICAI's words (sound or flawed formulation, weak or excellent implementation; efficiency as input-output, effectiveness as attainment of goals).
3. Describe all four squares or cells, one line each.

4. Place the company, with the facts that put it there.
5. Advise the path: A to B; D redesigns strategy first; C redesigns both; cell 2 needs strategic direction.

Three answers to "Distinguish between strategy formulation and implementation"

Loses marks

"Formulation is planning, implementation is doing."

True, but one point for a five-mark question.

Passes

Four rows of the table: meaning, entrepreneurial versus administrative, effectiveness versus efficiency, precedes versus follows.

About half the points.

Full marks

All eight rows of ICAI's table in its order, as a two-column table, each row a contrast.

Every point the Suggested Answer gives.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: Bunty's square D**
   Fix: square A is sound strategy, weak implementation. Brilliant execution of a flawed strategy is **square D**, and the first step there is to redesign the strategy.

2. **"Efficient is safer than effective"**
   Fix: the Study Material says the opposite: cell 2 is a worse place than cell 3, because effectiveness (the right strategic direction) is what ensures survival.

3. **The linkages written backwards**
   Fix: forward is formulation's impact on implementation (new strategy, so new structure and leadership style); backward is implementation's impact on formulation (strategies chosen that the present structure of resources can implement).

4. **Tactics on the wrong side**
   Fix: operational planning develops tactics rather than strategy; strategic planning develops overall objectives and strategies.

RECAP

- Strategic management has five stages, from vision, mission and objectives through analysis, formulation and implementation to evaluation and control, and the process never really ends; it is dynamic and continuous.
- Implementation is operations-oriented, the most demanding and time-consuming stage; eight principal aspects from budgets to internal leadership, building "fits" with capabilities, rewards, systems and culture.
- Matrix: A sound/weak (move to B), B sound/excellent (ideal), C flawed/weak (redesign both), D flawed/excellent (redesign strategy first).
- Efficiency grid: 1 thrive, 2 die slowly, 3 survive, 4 die quickly; cell 2 is worse than cell 3. Effective = right thing; efficient = thing right.
- Formulation: entrepreneurial, intellectual, effectiveness, few people at the top, precedes. Implementation: administrative, operational, efficiency, many people at middle and lower levels, follows.
- Forward linkage: formulation changes structure and leadership style. Backward linkage: the present structure of resources shapes the choice.
- Issues, in order: project, procedural, resource allocation, structural, functional, behavioural (they can overlap). Strategy, then programmes, then projects.

- Strategic uncertainty: flexibility, diversification, monitoring and scenario planning, resilience, collaboration. (Kulhad Express needed a cook, not a new recipe.)

5.2 Strategic change and digital transformation

Key idea

Strategy changes only when behaviour changes. Lewin's unfreezing, changing and refreezing is a continuous cycle, not a one-time event, and a digital transformation succeeds only when change management carries it at every level of the organisation.

ANSWER FRAME

Lewin case (1 + 3 + 1 = 5 marks)

1. **Identify** (1 mark): "The model being applied is Kurt Lewin's three-phase model of change: unfreezing, changing and refreezing."
2. **Explain** (3 marks): each phase in the Study Material's words, followed by "In the given case, ...".
3. **One-time?** (1 mark): "No. Change is a continuous process due to the ever-changing environment; the cycle of unfreezing, changing and refreezing remains continuously in action."

Five lists that look alike

List

Steps to initiate strategic change

How many

3

Items in order

Recognise the need; create a shared vision; institutionalise the change

List

Lewin's phases

How many

3

Items in order

Unfreezing; changing (compliance, identification, internalisation); refreezing

List

Elements of change management in the digital transition

How many

4

Items in order

Define goals; assess current state and gaps; roadmap; implement and manage at every level

List

Best practices for SMEs

How many

5

Items in order

Begin at the top; necessary and desired; reduce disruption; encourage communication; change is the norm

List

Pointers during digital transformation

How many

5

Items in order

Aims and objectives; always communicate; ready for resistance; gradually; assistance and training

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: Kesar's Monday launch**
   Fix: in any digital-transformation case with a big-bang launch, say so: sudden and unannounced change is socially destructive and morale lowering.

2. **Writing the pointers when the question wants the best practices**
   Fix: ICAI's answers to those questions give the five best practices (begin at the top ... change is the norm). The pointers answer "how to manage" or "navigate" change during digital transformation.

3. **Compliance, identification and internalisation as Lewin's phases**
   Fix: they are H.C. Kellman's three methods inside Lewin's **changing** phase. The phases are unfreezing, changing and refreezing.

RECAP

- Strategic change: modifying existing strategies or bringing out new ones as the environment changes; a corporate strategy focused on new markets, products, services and new ways of doing business.
- Strategic change is initiated in three steps: recognise the need for change, create a shared vision to manage change, and institutionalise the change.
- Lewin's three phases are unfreezing (no surprise: announcements, meetings, new ideas), changing (Kellman: compliance, identification, internalisation) and refreezing (new behaviour the normal way of life, continuously reinforced), in a continuous cycle.
- Digital transformation: digital technologies to develop fresh, improved or entirely new procedures, goods or services.
- Four elements: define goals; assess current state and gaps; roadmap; implement and manage at every level.
- Five best practices (SMEs): begin at the top; necessary and desired; reduce disruption; encourage communication; change is the norm.
- Five pointers: aims and objectives; always communicate; ready for resistance; gradually; assistance and training.
- Digital transformation efforts are more likely to fail without change management. (Melt, mould, freeze, and do not forget the freezer.)

5.3 Organisation structure and culture

Key idea

Structure should be designed to fit the strategy (Chandler: structure follows strategy), and the culture must fit it too. Changing structure cannot make a bad strategy good, and a strategy-culture conflict can defeat the best plan.

ANSWER FRAME

"Identify the structure" case (5 marks)

1. **Name it** (1 mark): "The structure best suited is the ... structure."
2. **Explain it** in the Study Material's words, tied to two or three facts.
3. **Advantages and disadvantages** (for an SBU: attributes and benefits), four to six numbered points.
4. A closing line on what it needs to work (matrix: planning, training, clear roles, communication, trust).

"Write a short note on ..." (5 marks)

Definition and when used; how it works (draw it); benefits; drawbacks; remedies. Hourglass: constricted middle, IT links top and bottom, generalist managers, lower cost, faster decisions, fewer promotions, three remedies.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: Bunty's "multidivisional" answer**
   Fix: ICAI keys this as an **SBU** in every MCQ read for this lesson: independent planning, own competitors, a manager responsible for strategic planning and profit.

2. **Strategy filed under the soft Ss**
   Fix: strategy, structure and systems are the hard elements; shared values, style, staff and skills are soft (May 2026 MCQ 10 tested exactly this).

RECAP

- McKinsey 7S has three hard elements (strategy, structure, systems, directly controlled by management) and four soft ones (shared values, style, staff, skills). Limits: ignores the environment, does not explain effectiveness, static, misses execution gaps.
- Chandler: structure follows strategy; new strategy, new problems, performance falls, new structure, performance improves.
- Small firms functional (centralised), medium divisional (decentralised), large SBU or matrix. Structure cannot make a bad strategy good.
- Simple: owner decides. Functional: by function, cheap, myopic. Divisional: geography, product,

customer, process; accountable but costly. M-form: separate businesses, small corporate office.

- SBU: related businesses, composite planning, own competitors, a manager responsible for profit; at least three levels.
- Matrix: two bosses, most complex, violates unity of command; conditions: cross-fertilisation, scarce resources, better information processing; phases: task forces, product/brand management, mature matrix.
- Network: outsourced "non-structure", broker headquarters, unstable environments. Hourglass: constricted middle, IT links top and bottom; cheaper and faster, fewer promotions.
- Culture: values, beliefs, principles, traditions, ways of operating, work environment; ally or obstacle; change it by diagnosis, talk, visible action and CEO commitment, over two to five years. (Rebuild the kitchen and the cooks still need new habits.)

5.4 Strategic leadership

Key idea

Strategic leadership sets direction by developing and communicating a vision, formulates strategies, brings about the changes needed to implement them and inspires people to execute. Transformational leadership inspires change; transactional leadership exchanges rewards for results and improves the current situation.

ANSWER FRAME

"Discuss the difference in leadership style" (5 marks)

1. Name the style of each person in the case, with the facts that show it.
2. Transformational: charisma and enthusiasm; turbulent environments, start or end of life-cycle, poor performers, major change; excitement, vision, intellectual stimulation; a "dream" of a higher calling; innovation.
3. Transactional: designing systems and controlling; authority of the office to exchange rewards such as pay and status; clear goals with explicit rewards or penalties; builds on the existing culture; static environments, mature industries, organisations performing well.
4. If asked, a two-column table on means of influence, when appropriate, and motivation.

Three answers to the "many leadership roles" question

Loses marks

"A leader must motivate, communicate and lead by example."

Generic management words; none of the five roles by name.

Passes

The five roles listed by name only.

Four marks' worth of headings with no content, and no opening on strategic leadership.

Full marks

Two lines on strategic leadership and the many roles (visionary ... head cheerleader), then the five roles in order, each explained in a line.

The structure of ICAI's own answer.

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: Bunty's "transformational" plant director**
   Fix: the style is judged by how the leader influences people. Authority of office, explicit rewards and penalties, and monitoring deviations make it **transactional**.

2. **"Transformational is always better"**
   Fix: each style has its setting. Transactional leadership may be appropriate in static environments, mature industries and organisations that are performing well; transformational in turbulent environments, at the start or end of the life-cycle, and in poorly performing organisations needing major change.

3. **Writing the seven responsibilities when the question asks for the five roles**
   Fix: "leadership roles in pushing for good strategy execution" = the five roles (staying on top ... pushing corrective actions).
   "Responsibilities of a strategic leader" = the seven (making strategic decisions ... sustaining high performance).

RECAP

- Strategic leadership: sets direction by developing and communicating a vision, formulates strategies, brings about the changes required to implement them, inspires staff to execute.
- Many roles: visionary, chief entrepreneur and strategist, chief administrator, culture builder ... crisis manager, spokesperson, negotiator, motivator ... head cheerleader; authoritarian, listener, participative or coach as the situation needs.
- The strategic leader is a change agent; major change is top-down and vision-driven, starting with diagnosis.
- Five roles in execution: stay on top; esprit de corps; keep responsive; ethical leadership; corrective actions.
- Seven responsibilities: strategic decisions; policies and action plans; communication; human capital (most critical); change; strong culture; high performance over time.
- Frame of reference: the assumptions, premises and accepted wisdom bounding a manager's understanding; battles are between mindsets.
- Transformational: charisma, vision, innovation; turbulent, start or end of life-cycle, poor performers. Transactional: authority, rewards and penalties, systems and control; static, mature, performing well. (Pick the coach for the season.)

5.5 Strategic control and performance measures

Key idea

Strategic control focuses on the dual questions of whether the strategy is being implemented as planned and whether the results produced are those intended. It watches the premises, the environment, sudden events and the steps of implementation, so the strategy can be adjusted in time.

ANSWER FRAME

"Which function, and which elements?" (5 marks)

1. "The company should perform the strategic control function of the strategic management process."
2. Purpose of control in the Study Material's words, tied to the problems in the case.
3. The four elements (a) to (d), each with one line applied to the facts.
4. Closing: the elements ensure a check on improper use of resources, undesirable tendencies and non-conformance, and a result-oriented implementation.

"Explain the types of strategic control" (5 marks)

Open with Schendel and Hofer's dual questions; then premise control (environmental and industry factors; selective), strategic surveillance (unfocussed, casual browsing), special alert control (sudden events, crisis

teams) and implementation control (incremental steps; monitoring strategic thrusts and milestone reviews); close with "these four controls steer the organisation and its sub-systems to the right track".

COMMON MISTAKES

⚠ **Common mistakes and their fixes**

1. **Hall of Shame: Bunty's "premise surveillance"**
   Fix: surveillance is unfocussed browsing for the unanticipated; checking a specific premise of the strategy is **premise control**.

2. **Budgetary control as a type of strategic control**
   Fix: stock, production, quality, cost and budgetary control are **operational** controls. The four strategic controls are premise, surveillance, special alert and implementation control.

3. **The wrong SPM list**
   Fix: that is the list of **types**. "Essential" or "importance" wants goal alignment, resource allocation, continuous improvement and external accountability; "factors" wants relevance, data availability, data quality and data timeliness.

RECAP

- The process of control has four elements: (a) objectives as measurable, controllable standards, (b) monitoring and measuring, (c) comparing, detecting

deviations and learning new insights on standards, and (d) feeding back corrective and adaptive information.

- There are three types of organisational control: operational (individual tasks, mechanistic: stock, production, quality, cost and budgetary control), management (a whole department, division or organisation, as Robert Anthony defines it) and strategic.
- Strategic control (Schendel and Hofer): is the strategy implemented as planned, and are the results those intended?
- Premise control: focused check of assumptions (environmental and industry factors), selectively. Strategic surveillance: unfocussed, casual browsing. Special alert: sudden events, crisis teams. Implementation control: incremental steps; monitoring strategic thrusts and milestone reviews.
- SPM: tracks progress with clear-cut measures and eliminates silos through a common language. KPIs need cause and effect, careful choice; beware paralysis by over analysis.
- Types: financial, customer satisfaction, market, employee, innovation, environmental. Triple bottom line: profit, people, planet; quadruple adds purpose.
- Important for goal alignment, resource allocation, continuous improvement, external accountability. Choose by relevance, data availability, data quality,

data timeliness. (Check the road before you leave, and again at every toll plaza.)